

## Documentation for files in folder 'Data':

There are five data sets each in folder 1988 and folder 1997 (with the same structure):

- a) XMat.out. There are 2065 observations (one for each county) and 15 variables in this data set. The variables are (from the first column to the last column): the county identifier, log of county population, log of county retail sales per capita, percentage of urban population, dummy for MidWest region, log of distance to Benton county, dummy for the southern region, Kmart stores (1 if there is a Kmart store in the county), Wal-Mart stores, number of small stores, distance weighted number of Kmart stores in markets that are not part of the sample, distance weighted number of Wal-Mart stores in markets that are not part of the sample. The last three variables are optional.
- b) data78.out. This data set contains the variables relevant for the 'pre-chain' period. It has 2065 observations (one for each county) and 14 variables. The variables are: the state FIPS code, county FIPS code, log of county population in 1978, log of personal income in 1981, percentage of urban population, the number of small stores in 1978, log of retail sales per capita in 1977, two variables that are not relevant, urban population in 1980, personal income in 1981, retail sales in 1977, population in 1978 and population in 1980.
- c) nei\_id.out contains the county code for counties within 50 miles. The number '2066' stands for 'NA'.
- d) nei\_dist.out contains the inverse of the distance (in miles) between a county and its nearby neighbours. The dataset has the same layout as nei\_id.out.
- e) Weight2.out is the weighting matrix in the objective function. It is calculated using a preliminary parameter estimate.